Buying Property in Mexico

A Comprehensive Step-by-Step Guide for International Buyers

Purchasing real estate in Mexico as a foreigner is a highly secure and legally structured process. This guide provides a clear roadmap from your initial search to the final transfer of ownership, outlining essential legal safeguards and costs.

STEP 1

Property Search & Budgeting

The first step involves finding a property that aligns with your specific needs and budget. During this stage, it is crucial to account for the mandatory ***gastos de escrituración*** (closing and deed registration costs). In Mexico, these expenses typically range from **5% to 9%** of the total purchase price, covering notary fees, acquisition taxes, and registration rights.

STEP 2

Offer & Due Diligence (Legal Investigation)

Once you identify the ideal property, a formal offer is submitted. Before signing any binding contracts or sending funds, a comprehensive legal review must be conducted. Your legal representative or notary will request a ***Certificado de Libertad de Gravamen*** (Lien-Free Certificate) from the Public Registry. This document guarantees that the property is free of hidden mortgages, tax debts, or legal disputes, and verifies that the seller is the undisputed legal owner.

STEP 3

The Promissory Agreement & Deposit

Once the background check is clear, both parties sign a ***Contrato de Promesa de Compraventa*** (Promissory Buy-Sell Agreement). To ensure maximum legal security, it is highly recommended to formalize and ratify the signatures before a ***Notario Público*** (Notary Public).

> **Financial Terms:** A ***downpayment*** (earnest money deposit) ranging from **20% to 30%** is standard at this stage, depending on the property and seller. For added security, buyers can opt for an international **Escrow** account through an external firm. While this increases the transaction cost, it ensures your funds are protected by an independent third party until closing.

STEP 4

SRE Permit & Trust Setup

Can a foreigner legally buy property in Mexico? **Absolutely.** Under Article 27 of the Mexican Constitution, properties located within the ***Zona Restringida*** (Restricted Zone)—defined as any land within 50 km (31 miles) of the coast or 100 km (62 miles) of the nation's borders—must be acquired by foreigners via a bank trust known as a ***Fideicomiso*** (Bank Trust).

> **How it works & Costs:** A Mexican bank acts as the trustee, holding the legal title while granting you 100% of the ownership rights (the right to use, remodel, lease, sell, or pass it on to your heirs). This process requires a formal permit from the ***SRE / Secretaría de Relaciones Exteriores*** (Ministry of Foreign Affairs). Setting up a trust with a trusted institution like *Banco del Bajío* involves an initial setup fee of approximately **$2,000 to $3,000 USD**, along with an annual maintenance fee ranging from **$500 to $700 USD**.

STEP 5

Appraisal, Documentation & Notary File

Both the buyer and seller submit their complete identity, legal, and tax documentation to the assigned ***Notario Público*** (Notary Public). In Mexico, the Notary is an impartial, state-appointed attorney who legally validates the entire transaction. The Notary will order an official commercial ***avalúo*** (property appraisal) to assess municipal taxes and request official ***certificados de no adeudo*** (certificates of no debt) verifying that the property owes no money for property taxes, municipal water, or homeowner association fees.

STEP 6

Final Inspection (Walkthrough)

A few days or hours prior to the official closing date, the buyer or their representative should conduct a physical ***walkthrough*** (final inspection) of the property. This ensures the building is in the exact condition agreed upon and allows both parties to cross-reference and sign off on the detailed ***inventario*** (inventory list) of furniture and appliances included in the sale.

STEP 7

Signing the Escritura Definitiva (Final Deed) & Closing

The closing day. The Notary coordinates ahead of time with you and the trustee bank to establish the exact date and hour. All parties meet at the notary office to review and sign the ***Escritura Definitiva*** (Final Deed). At this precise moment, the final balance of the purchase price is transferred to the seller. In return, you receive the legal possession of the property, the keys, and the fully signed inventory.

STEP 8

Utility & Tax Registration Updates

Following the closing, the Notary submits your new deed to the Public Registry for final recording. Armed with a certified copy or a notary letter, the final step is to update the ownership records. You must change the name on the municipal ***predial*** (property tax) account, water bills, electricity contracts with CFE, and register as the new owner with the condominium administration.

This document serves as an informational overview. Local regulations and exact bank fees may vary depending on the specific municipality and property type.